

May 7, 2026

Via electronic filing: regulations@coppa.ca.gov

To: California Privacy Protection Agency
Attn: Legal Division – Regulations
400 R St., Suite 350 Sacramento, CA 95811

Re: Preliminary Comment – DROP Audits

On behalf of the advertising industry, we provide the following comments in response to the California Privacy Protection Agency’s (“CalPrivacy” or “Agency”) invitation for preliminary comment on potential regulations related to audit requirements for processing deletion requests through the Delete Request and Opt-Out Platform (“DROP”).¹ We appreciate CalPrivacy’s efforts to seek stakeholder input at an early stage to help ensure that any future requirements are workable and aligned with the California Delete Act (“Delete Act”). At the same time, we have concerns about certain topics identified for possible new rulemaking and the direction under consideration by the Agency. Below we provide comments on a non-exhaustive list of issues we have identified with the Agency’s preliminary rulemaking efforts. We intend to remain engaged should the Agency move forward with formal rulemaking.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product (“GDP”) in 2024.² By one estimate, approximately 18.9% of California jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 20.7% by 2029.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Agency further as it reviews submitted preliminary comments and considers whether new regulations are necessary.

I. The Delete Act clearly established DROP audit requirements, and there is no record to demonstrate that regulations are necessary to facilitate compliance with this requirement.

The Delete Act established a specific audit requirement mandating that, “[b]eginning January 1, 2028, and every three years thereafter, a data broker shall undergo an audit by an independent third party to determine compliance...” with the statute.⁴ This provision reflects a targeted legislative approach: requiring audits while preserving necessary flexibility in how

¹ California Privacy Protection Agency, Invitation for Preliminary Comments, located [here](#).

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

³ *Id.* at 15-16.

⁴ Cal. Civ. Code § 1798.99.86.

businesses conduct their internal processes to process and effectuate deletion requests. The statute's audit requirement is unambiguous, and since the provision goes into effect beginning in 2028, the record does not yet demonstrate a need for additional regulation or agency involvement. Nothing in the statute requires the Agency to prescribe how companies must design, implement, or operationalize required audits. Rather, the California Legislature defined the required outputs (i.e., audit reports and related materials) without mandating the precise inputs or methodologies by which entities must achieve DROP compliance. The Agency should avoid stepping into areas that are the purview of the legislature by imposing detailed technical specifications governing audits or DROP compliance systems via regulation. If CalPrivacy promulgates regulations that impose obligations beyond those expressly set forth in the statute, the Agency would risk upsetting the balance struck by the legislature between accountability and operational flexibility, and opens the Agency to criticism of scope creep.

II. The scope of any regulations should be limited to what is necessary for DROP audit compliance.

Any implementing regulations should be narrowly tailored to what is necessary to effectuate compliance with DROP audit requirements. The Agency's role in this context is to facilitate compliance with the law and not to seek to expand the scope of underlying statutory obligations. If CalPrivacy proceeds with issuing regulations, the rules should focus on discrete procedural elements, such as clarifying the timing and method for submission of the required audit reports. Any associated recordkeeping requirements should be limited to materials that are reasonably necessary to substantiate compliance with the statute's audit provisions.

CalPrivacy should not prescribe how companies design or operationalize their deletion systems, including the technical design of databases or other proprietary infrastructure or vendors in place to process deletion requests. Any regulation with prescriptive requirements regarding DROP request implementation would risk stifling innovation and imposing unnecessary costs on businesses without corresponding compliance benefits. Similarly, the Agency should avoid creating expansive documentation requirements that extend beyond what is needed to validate deletion request processing. The statute already contemplates a targeted audit regime centered on submission of an audit report and related materials, which clearly does not give CalPrivacy any mandate to require ongoing, open-ended documentation or enterprise-wide examinations.

We are particularly concerned that certain elements of the invitation for preliminary comment include questions related to artificial intelligence ("AI") and agentic AI systems, suggesting a potential expansion of the audit framework into other areas not contemplated by the Delete Act. AI considerations are not germane to the statute's audit requirements, which are central to this pre-rulemaking exercise.

For these reasons, any implementing regulations should remain tightly aligned to the stated objective: the DROP audit process as mandated by the Legislature. The Agency should ensure any regulations on audits reinforce the statute, which allows for flexibility in the execution of an audit to verify a business's compliance with the DROP. These regulations should not serve as a vehicle for broader reach to unrelated data practices.



To the extent the Agency seeks to ensure that audits are independent and effective, it should prioritize flexibility over prescriptive mandates, support competition and cost-efficient audit measures, and promote efficiency. Above all, any regulations should remain grounded in the statute.

We intend to remain engaged and to participate in any formal notice-and-comment process should proposed regulations be issued. We welcome further opportunities to engage with the Agency to help ensure that any approach is both practicable and consistent with the Delete Act.

Thank you in advance for your consideration of these comments.

Sincerely,
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